

UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION

Interconnection of Large Loads to the)
Interstate Transmission System) Docket No. RM26-4-000

**COMMENTS OF VANTAGE DATA CENTERS CONCERNING
PROPOSED ADVANCE NOTICE OF PROPOSED RULEMAKING**

Vantage Data Centers (“Vantage”) submits these comments in response to the Federal Energy Regulatory Commission’s (“FERC” or “Commission”) Notice Inviting Comments dated October 27, 2025, concerning the proposed Advance Notice of Proposed Rulemaking (“ANOPR”) transmitted to the Commission under Secretary of Energy Wright’s October 23, 2025, letter to the Commission. Vantage commends the Department of Energy and the Commission for addressing current issues affecting large load interconnections through the proposed ANOPR and appreciates the opportunity to provide comments on this critical topic. The United States is experiencing rapid growth in technological advancements that are steadily advancing the country’s role as a global leader in the fields of both artificial intelligence and energy. Vantage believes that it is imperative that the nation’s electric grid can fully support this growth without sacrificing reliability or affordability. Well-designed regulatory guidance and planning processes can achieve that goal.

I. VANTAGE’S INTERESTS IN THE PROCEEDING

Vantage Data Centers is a global leader in developing hyperscale digital infrastructure serving the world’s leading AI and cloud providers. With operations

spanning North America, Europe, and Africa and Asia Pacific, Vantage delivers secure, reliable, and scalable capacity, driven by a commitment to operational excellence and customer success. Our experience both as a developer of hyperscale data centers and as a long-term operator of those facilities has allowed the company to create and implement industry-leading and responsible practices in a variety of markets. In addition to operating vital digital infrastructure that supports economic expansion, innovation, and critical industries, Vantage's developments directly contribute to American prosperity through investment into communities, job growth, and local partnerships.

Vantage is one of the largest and fastest growing data center companies with 8.4 gigawatts (GW) of data center capacity under development or in operation. Further, Vantage is developing two gigawatt-scale campuses in Texas and Wisconsin, together representing more than \$40 billion of investment.

Vantage and its customers prefer to develop grid-connected sites to promote reliability and resilience to ensure operational continuity for its data center customers and to promote the efficient and secure operation of the grid. Vantage is also engaged in developing data centers that are fully or partially supported by on-site generation (referred to in the proposal as "hybrid facilities") in response to the challenges of existing interconnection processes and an array of challenges to the timely addition of new utility-owned generation. In particular, Vantage's Project Frontier¹ currently in development in

¹ See <https://vantage-dc.com/news/vantage-data-centers-unveils-plans-for-frontier-a-25b-mega-campus-in-texas-to-meet-unprecedented-ai-demand>.

Texas may be the nation's largest fully non-grid connected power solution serving a hyperscale data center in the U.S. with sufficient on-site generation to supply 100 percent of the facility's electric demand and reserve requirements. At the same time, Vantage's Lighthouse² campus currently under development in Wisconsin will be one of the nation's largest grid-connected hyperscale projects and will support the region's bulk power system through the company's financial support of extensive new energy and capacity resources and transmission. These two vastly different examples of energy procurement both underscore the need for continued interconnection reform and serve as evidence that an array of effective approaches to complementing additional load with grid-supporting generation assets can occur in a collaborative and forward-thinking regulatory environment.

Vantage's VA2 Data Center campus in Sterling, Virginia provides a relevant example of how interconnection process delays will negatively affect the perceived benefits of a hybrid facility. Vantage developed its VA2 data center campus with a full complement of on-site generation to serve its 96 MW demand, in order to meet our customer's facility needs on a timely basis when the local utility's large load interconnection process was unable to meet that schedule. Vantage remains committed to connecting this project to the grid. Doing so would enable the site to scale effectively while delivering meaningful benefits to the broader system by bringing additional generation online. This represents a strong use case for the type of integration and system

² See <https://vantage-dc.com/data-center-locations/north-america/port-washington-wisconsin>.

improvements contemplated in the FERC ANOPR, demonstrating how projects like ours can advance reliability, resilience, and efficiency across the grid.

II. COMMUNICATIONS CONCERNING THIS PROCEEDING

Pleadings and other communications concerning this proceeding should be addressed to the following on behalf of Vantage:

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III. COMMENTS ON PROPOSED ANOPR PRINCIPLES

Vantage supports many of the fourteen principles set forth in the proposed ANOPR. Vantage emphasizes that the specific principles and reforms concerning (1) hybrid interconnecting data center facilities supported in whole or in part by dedicated generating facilities (Principles 3 and 5), (2) expedited interconnection study procedures (Principle 7), (3) cost allocation for interconnection-related network upgrades (Principle 8), and (4) a fair and structured transition that respects existing rights (Principle 13) are of greatest importance. In addition, Vantage believes that the states are critical to the development and implementation of the reforms envisioned in the Secretary's October 23 transmittal to the Commission and subsequent ANOPR because of the integral relationship between those reforms and the regulatory role reserved to the states in Section 201(b)(1) of the

Federal Power Act.³ The engagement of the states in the reform process initiated by the proposed ANOPR is critical to success in this effort.

A. Reforms for Hybrid Facility Study Processes Are Timely and Critical (Principles 3 and 5)

The proposed ANOPR uses the expression “hybrid facilities” to describe data center facilities with electrical demand “seeking to share a point of interconnection with new or existing generation facilities.”⁴ With some risk of generalization, hybrid data centers can be viewed as products of the following tension: On one hand, data center developers and their customers require expedited availability and assurances of reliability. On the other hand, transmission-owning electric utilities often exercise understandable caution concerning the potential operational and reliability impacts of large loads. There is significant variation in how utilities are able to appropriately assess risk and manage the interconnection of large projects. Many utilities are concerned about their exposure, citing the potential burden on existing customers and the risks associated with building new generation and transmission upgrades to serve projected data center demand. These challenges are compounded by political pressures that can prioritize certain projects over others, regardless of merit.

The task becomes even more complex given the sheer volume of interconnection requests from prospective data centers, while only some of those projects reach commercial operation. Many speculative proposals fail to materialize, leaving utilities to navigate an

³ 16 U.S.C. § 824(b)(1).

⁴ Proposed ANOPR at P 12.

uncertain landscape. Too often, this process lacks transparency, with limited visibility into how queues are managed or how decisions are made, further eroding confidence in the system.

This tension creates considerable uncertainty, cost and confusion given varying treatment across different utilities and state regulatory jurisdictions, which in turn creates risks and complexity for data centers, their customers, and host communities. At the same time, Vantage is compelled to make significant investments in power plants, sometimes having to limit or forgo reliance on traditionally reliable grid-connected power due to load interconnection delays, shortages of available utility supply, or infeasible interconnection regulations requiring large new loads to be curtailable.

Proposed ANOPR Principles 3⁵ and 5⁶ describe substantial benefits for hybrid facilities, grid reliability, and utility customer affordability from performance of an integrated study for both the load and generation components. These benefits include:

- i. Potential reduction of grid impacts and costly network upgrades by addressing the “net injection/withdraw” of the hybrid configuration. Currently, many transmission and interconnection study processes involve independent evaluations at different times which can produce unintended results, including inaccurate assessments of impacts on the grid and resulting requirements for network upgrades that could have been avoided or mitigated by undertaking the studies in tandem.
- ii. Avoidance of expensive and time-consuming re-studies by coordinating studies of load and generation at the same or proximate sites.

⁵ Proposed ANOPR at P 20.

⁶ Proposed ANOPR at P 22.

- iii. A reduced “net injection/withdraw” impact on the grid should align with reduced interconnection costs, in contrast to current study processes that do not consistently support this objective.
- iv. Providing hybrid developers with a clear line of sight on these issues should promote both the effective and efficient delivery of data center facilities to their customers (with resultant efficiencies in the cost of data services) while concurrently mitigating the consumer cost impacts of expanding transmission and generation capacity to accommodate new system demand.

Vantage endorses the above-listed principles proposed in the ANOPR and urges the Commission to adopt each in a final rule. At the same time, Vantage urges FERC to pursue these reforms in active collaboration with state regulators. Attaining the solutions envisioned in the proposed ANOPR will require coordinated and carefully balanced cooperation between the Commission and affected state regulators, actively implementing the balance of authority over the electric power industry envisioned in FPA Section 201(b)(1). The industry needs a more efficient regulatory framework to manage the challenges posed by large-load interconnection, not a more cumbersome, regulation-intensive process.

B. Fast-Track Study Processes Incenting Flexibility (Principle 7)

Proposed ANOPR Principle 7 holds that “the interconnection study of large loads that agree to be curtailable and hybrid facilities that agree to be curtailable and dispatchable should be expedited.”⁷ Vantage supports the objective of proposed ANOPR Principle 7 but encourages the Commission’s cautious and thoughtful consideration of potential

⁷ Proposed ANOPR at P 24.

negative consequences of premature implementation of this Principle's dispatchability aspect.

The reality is that Vantage invests heavily in fully islanded and hybrid configurations. Vantage believes islanded generation resources which could become connected to the grid and grid-connected hybrids could unlock significant flexibility benefits under the right circumstances and regulatory constructs. Better coordinated flexibility in the dispatch of on-site generation is likely the greatest source of near-term efficiency and enhancement of grid reliability and more efficient consumer costs, in contrast to the more limited benefits available through price responsive demand-side management of data center loads. Existing market structures and processes are not empowered to viably receive, reward, or incent all of these potential benefits. Thorough Commission guidance is essential to improvement in this aspect of the reforms urged by the proposed ANOPR.

On one hand, subjecting the generation associated with hybrid facilities directly to utility or system operator dispatch creates at least two difficult issues. First, at least without careful structuring, making the generation associated with hybrid facilities fully dispatchable (even if restricted only to grid emergencies) undermines the reliability rationale for installing that generation in the first place. If hybrid facility generation is dispatched by a utility or system operator and not subject to instantaneous recall in the event of an interruption in grid-based electric service to the load side of the hybrid facility, the underlying rationale for the financing and construction of that generation is likely to be substantially impaired. In addition, traditional contractual and organized market rule

structures for dispatchability may subject the owner or operator of the hybrid facility's generation to Commission regulation as a statutory public utility under Section 201(e) of the Federal Power Act.⁸ Further, the Commission's regime for market-based rate authorization may create additional limits on the attractiveness of that proposition on data center generation operators, for example, where the hybrid facility generation is located in, or creates, a load pocket bounded by import constraints precluding the deployment of negotiated rates.⁹

On the other hand, the use of demand response structures likely does not implicate regulatory concerns on the part of data center generation operators to the same degree as subjecting hybrid facility generation to utility or system operator dispatch. On this side of the house, Commission guidance on permissible terms and conditions imposable on data centers' agreements to participate in demand response agreements or programs is essential to avoiding unduly onerous participation requirements.

However, there are currently practical operational and commercial limitations to load-side flexibility and Vantage urges thoughtful contemplation on this proposed reform.

⁸ 16 U.S.C. § 824(e) defines a "public utility" subject to Commission regulation, with certain exceptions not relevant to this discussion, as "any person who owns or operates facilities subject to the jurisdiction of the Commission under this Part," and the relevant "facilities" broadly include all manner of things employed in the "sale of electric energy at wholesale in interstate commerce" under FPA Section 201(b)(1).

⁹ *Mkt.-Based Rates for Wholesale Sales of Elec. Energy, Capacity & Ancillary Servs. by Pub. Utils.*, Order No. 697, 119 FERC ¶ 61,295, *clarified*, 121 FERC ¶ 61,260 (2007), *order on reh'g*, Order No. 697-A, 123 FERC ¶ 61,055, *clarified*, 124 FERC ¶ 61,055, *order on reh'g*, Order No. 697-B, 125 FERC ¶ 61,326 (2008), *order on reh'g*, Order No. 697-C, 127 FERC ¶ 61,284 (2009), *order on reh'g*, Order No. 697-D, 130 FERC ¶ 61,206 (2010), *aff'd sub nom. Mont. Consumer Counsel v. FERC*, 659 F.3d 910 (9th Cir. 2011), *codified at* 18 C.F.R. §§ 35.36 through 35.42.

Vantage's typical customers' required need for around-the-clock uninterruptible energy supply precludes the ability to provide or offer significant load flexibility. In light of this operational and commercial reality, Vantage is actively exploring and participating in innovative efforts to unlock increased data center load-side flexibility, both as stand-alone loads and in hybrid configurations with onsite generation. This is taking place with national labs, grid management developers, and software companies. Such innovation is necessary and practical rule sets and incentives can help bolster market interest. A key determinant in securing such flexibility will hinge on the conditions of curtailment, which must be further developed through a collaborative process that addresses the economic and reliability concerns of data center customers, as well as those of electric utilities and retail electricity consumers. This is most true with respect to minimal and maximum levels of curtailment, the frequency and duration of those curtailments, and requirements for advance notice of curtailments sufficient to enable the timely and reliable activation of load-side reductions or generation changes in hybrid facilities.

C. Network Upgrade Cost Allocation (Principle 8)

The recommendation of Proposed ANOPR Principle 8¹⁰ that large loads should be fully responsible for assigned network upgrades attributable to their interconnection accords fully with Vantage's commitment to absorb the full cost of upgrades required by its projects. This approach promotes consistency with cost causation principles requiring "comparing the costs assessed against a party to the burdens imposed or benefits drawn by

¹⁰ Proposed ANOPR at P 25.

that party.”¹¹ and avoids imposing undue burden on the utility’s ratepayers. It is also likely to prove consistent with Commission principles allowing the imposition of the higher of embedded or incremental costs for transmission service requiring system upgrades.¹²

Vantage sympathizes that public perception has not aligned with this desirable practice. Vantage recognizes that mitigating circumstances and/or unique cases can occur and supports an assessment of exceptions with accompanying mitigating actions. Further, a transmission rate crediting mechanism is appropriate to ensure full compliance with the Commission’s “higher of” transmission pricing principle by ensuring that the data center customer is not allocated the full cost of network upgrades caused by its interconnection *plus* the system average embedded cost of transmission.

D. Fair Transition Plans Are Essential (Principle 13)

Proposed ANOPR Principle 13 requires “a plan to implement these proposed reforms” and seeks “comment on appropriate transition plans, including the treatment of large load interconnections that are already being studied for interconnection.”¹³ A fair and consistent regulatory structure is crucial to business continuity and ultimate success. It is

¹¹ *Ill. Com. Comm’n v. FERC*, 576 F.3d 470, 477 (7th Cir. 2009) (quoting *Midwest ISO Transmission Owners v. FERC*, 373 F.3d at 1368) (internal citations omitted). *See also City of Lincoln v. FERC*, 89 F.4th 926, 931 (D.C. Cir. 2024) (citing *Old Dominion Electric Coop. v. FERC*, 898 F.3d 1254, 1255 (D.C. Cir. 2018)).

¹² *Inquiry Concerning the Commission's Pricing Policy for Transmission Servs. Provided by Pub. Utils. Under the Fed. Power Act*, Policy Statement, FERC Stats. & Regs. ¶ 31,005 (1994) at 31,137-38 (“[T]he Commission has allowed a utility to charge transmission-only customers the higher of embedded costs (for the system as expanded) or incremental expansion costs, but not the sum of the two.”).

¹³ Proposed ANOPR at P 30.

imperative that projects with existing interconnection agreements are permitted to move forward under their current frameworks and grandfathered from any reform that is put in place – unless they voluntarily opt in to a new, Commission-approved tariff interconnection program that appropriately implements the guiding principles of the proposed ANOPR. Further, projects that are in advanced stages of development and have study results in hand should not be subjected to costly restudies and additional delays.

CONCLUSION

Vantage appreciates the Commission’s consideration of these comments and looks forward to working with the Commission and industry stakeholders as it considers next steps in addressing the challenges outlined herein.

Respectfully submitted,

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CERTIFICATE OF SERVICE

The undersigned hereby certifies that one copy of the foregoing Comments of Vantage Data Centers Concerning Proposed Advanced Notice of Proposed Rulemaking has this day been served by a means authorized by Rule 2010(f) of the Commission's Rules of Practice and Procedure (18 C.F.R. § 385.2010(f)) on each person whose name appears on the Official Service List in this proceeding.

/s/ Scott Wright

Scott Wright
Vantage Data Centers

Dated: November 21, 2025